

MULUND COLLEGE OF COMMERCE (AUTONOMOUS)

Programme: School of Management Studies

Class: FY BBA

Semester: II

Exam: External

Name of the Subject: Managerial Economics

Date of Exam: 10/04/2024

Marks: 60

Time: 2 hours

Instructions: 1) Figures to the right indicate maximum marks.

Q1 Read the following case study and answer the given questions 12

The coffee market in a small town is experiencing fluctuations in supply and demand. The town has two coffee shops, Aroma Café and Brew Haven, competing for customers. Aroma Café specializes in premium organic coffee sourced from local farms, while Brew Haven offers a variety of coffee blends at lower prices.

Recently, due to adverse weather conditions, coffee production in the region has decreased, leading to a decrease in the overall supply of coffee beans. As a result, the price of coffee beans has risen significantly.

- A Explain the demand determinants of coffee.
- B If consumers' income in the town decreases due to the economic downturn, how will it impact the demand for coffee at both Aroma Café and Brew Haven? What strategies can the coffee shops adopt to mitigate this impact?

Q2 Answer the following (any 2) 12

- A The demand function for commodity gold is given $Q_{dg} = 300 - 10p_g$. The price of gold is given in the table below :

Price of Gold(Rs)	Quantity of demand
5	
10	
15	
20	

Answer the following questions :

- (i) Calculate the quantity of demand for gold at given prices.
 - (ii) With the help of the above demand Schedule draw the demand curve.
 - (iii) Calculate the price elasticity of demand when the price changes from Rs.10 to Rs. 15.
- B Explain different types of price elasticity of demand with suitable diagrams
- C Explain the external economies of scale. Differentiate economies of scale and economies of scope.

Q 3 **Answer the following (any 2)** **12**

- A Discuss the various types of Costs.
- B Explain the stages in the law of variable proportion with causes.
- C Given that TFC is Rs. 100.

Units	1	2	3	4	5	6
TVC	30	50	70	100	150	230

Calculate ATC, and MC from the above table.

Q 4 **Answer the following (any 2)** **12**

- A Discuss the difference between Perfect Competition and Monopoly competition.
- B Explain the short-run equilibrium of the firm and industry under perfect competition with a suitable diagram.
- C Explain the role of advertisement in Oligopoly market competition.

Q 5 **Answer the following (any 2)** **12**

- A State the meaning and degree of price discrimination.
- B What are the objectives of the pricing method?
- C What is multiproduct pricing? How is it done?